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2023

جامعة خليفة
Khalifa University

Internal Audit Report
Business Development

Internal Audit Department
Khalifa University of Science and Technology
August- 2023

Ref: KU/2023/IAD-139

August 2023

Jalal El Jazzar

SVP Finance and Investment

Khalifa University of Science and Technology

We have completed our review of Business Development. The review was conducted during May – June 2023 covering the period from January 2022 to December 2022.

The objective of our audit was to review the adequacy and effectiveness of internal controls system and procedures; and to ensure compliance with operating policies and procedures, laws and regulations.

We have discussed the contents of our report, including our recommendations, with the respective processes' owners and where relevant we have incorporated their comments and action plans to remediate our findings.

I would like to draw your attention to the issues highlighted in the executive summary, where opportunities for improvement were highlighted.

Yours Sincerely,

Abdulaziz Alkhoori

VP, Audit

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1. Executive Summary

1.1. Introduction

We have completed the Review of Business Development, in line with the Approved Internal Audit Plan and Scope Letter Dated May 2023. The Internal Audit Findings / Improvement Opportunities to address associated risks / control gaps were identified and reported as part of this report.

1.2. Scope of Work

The Scope of Work comprised of the following areas:

- Governance and Compliance.
- Operations.
- Budget and Other Finance related.

1.3. Audit Objectives

The Objective of this review is to provide independent and objective assessments of KU's business processes and systems of risk management, internal controls and governance processes. Further, assess compliance with policies/procedures and efficiency and effectiveness of operations and resource utilization.

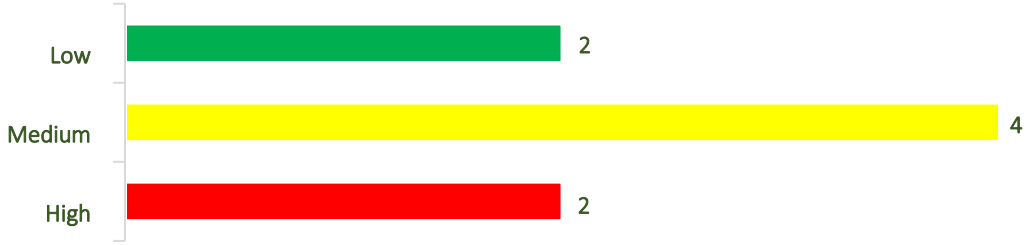
1.4. Audit Process

The following are the key Audit Steps undertaken by the IA Department:

- Gain an understanding of the processes of the areas covered in the scope listed above.
- Reviewed adequacy and effectiveness of internal controls system and procedures.
- Reviewed compliance with the policies and procedures, laws and regulations.
- Agreed with process owners on action plans to improve control effectiveness / process performance.

2. Summary of Audit Findings

Controls need to be enhanced for **25%** of the observations. A balance of **50%** is within the moderate range and **25%** is within low range and needs to be monitored and prevented from entering the high-risk category and moderate range as applicable.



Please refer to Appendix – 1 for detailed Ratings

The audit findings found during the review are summarized below. It should be noted that we have reported only on the exceptions detected during the course of our review.

1. Strategic Direction

   The absence of a documented strategy that encompasses the vision, mission, and strategic goals has been noted.

2. Non-compliance with Delegation of Authority (DoA)

   On review of 2 revenue agreements, it was noted in 1 instance that the agreement was not signed as per the approved Delegation of Authority – DoA.

3. Background

The Business Development (BD) Function at Khalifa University was set up in 2017. As part of the KU drive for sustainability and revenue growth, the BD Function was set up as a means through which funds could be generated for the university, to supplement existing grant funding, with the overall goal of ensuring the long-term sustainability of the university.

The Business Development unit facilitates a range of business services in areas such as consultancy services, laboratory rental, sports facilities, and venue rental etc.

- ### Business Inquiries

Business Development inquiries such as venue rental, sports facility rental can inquired through Business Development webpage on KU Website by filling a form or by contacting directly at Businessdevelopment@ku.ac.ae.

- ### Strategic Goals and Objectives

Business Development Function is currently in the process of finalizing its vision, mission, Policies and procedures.

- ### Periodic Reporting

Periodic consolidated reporting is submitted to KU Management including the following:

- Revenue budget vs actuals;
- Projects in progress by Academics, Facilities or Investment;
- Other details as deemed necessary.

- ### Business Development Budget

Separate Budget (operational or capex) is not estimated for the BD Function. As a result, no budget code has been established for the BD Function.

- ### Key Performance Indicators

Staff Key performance indicators are set and monitored on periodic basis. However, Function Key Performance Indicators are yet to be established including and short and Long Terms Goals which align with KU Strategic Objectives and Initiatives.

- ### Revenue Income Streams

Following are broader categories of Revenue streams at KU:

- Facilities:
  - Space Rental
  - Outlet Rental
  - Sports Rental
  - Student Services (Cards, Certificates etc.)
  - Laboratory services
  - Dorms / Accommodation
  - Transportation
- Academic
  - Scholarship (Tuition)
  - Sponsorship
  - Continuing Education Center
- Investment
  - Techno Park
  - Endowment
  - KUEC

4. Detailed Audit Findings

High 1. Strategic Direction

Risk Ref : KU-BD-01, KU-BD-02

Observation/Process Enhancement

Business Development (BD) Scope briefing document outlines scope of work, potential revenue areas, BD Manager responsibilities, analysis implementation etc. Our review of BD Scope briefing document developed in 2017 showed:

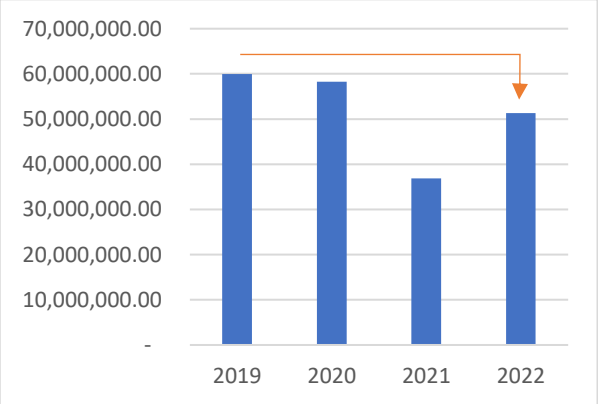
- Absence of approved Strategy documenting vision, mission and strategic goals.

  As a result, there is no formal approved document currently available which shows Functions' alignment with the previous KU Strategic Plan 2017 – 2022 or current KU Strategic Plan 2021 – 2031 i.e. how BD Function contributes overall KU Strategic initiatives and objectives. The Function is currently working towards developing strategy, vision and mission.

  Without a defined strategy, it is challenging to determine the precise scope and responsibilities of the BD. This includes clarifying whether BD primarily serves as a supporting function, assisting other departments in revenue generation, or if it bears full responsibility for generating revenue at KU. Additionally, it is important to establish whether BD is accountable for specific revenue streams within KU.

- In addition, review of revenue actuals across KU over the course of 4 years (2019 – 2022) showed that KU revenue generation has decreased and revenue budget was not achieved either.

  Please refer to details in the table and infographics below:



Year	Approved Budget	Actual
2019	134,724,000	59,930,967
2020	63,141,000	58,259,930
2021	49,095,000	36,862,523
2022	66,229,000	51,338,686

It is worth mentioning that Draft BD strategy has been under review with the KU Management with no action.

Recommendations

- Establish BD Strategy with scope and responsibilities. Obtain approvals as per the DoA.
- Ensure BD Strategy is aligned with KU Strategic Initiatives and Objectives.

Management Action Plan

Management Action Plan:

BD is in the process of developing KUEC strategy.

Responsibility:

BD Function

Timelines:

31st of December 2023

Medium 2. Policy and Procedures

Risk Ref : KU-BD-07

Observation/Process Enhancement

Policies and procedures provide clear guidelines and instructions ensuring consistent and effective decision-making. Without established governance policies, there is a lack of direction, accountability, and transparency in the BD activities. Our review of the BD Function noted absence of formally developed Policy and Procedures such as:

- Lead Generation and Sales Pipeline Management / Inquiry Management;
- Contract and Proposal Management;
- Performance Measurement and reporting;
- Pricing and Costing;
- Investment Placing;
- Project Management etc.

Recommendation

- Establish comprehensive policies and procedure covering the entire activities undertaken by BD.
- Ensure adequate implementation and compliance with policies and procedures.

Management Action Plan

Management Action Plan:

Draft Policies and Procedures are in process of development and approval in liaison with external consulting agencies.

Responsibility:

BD Function

Timelines:

31st of December 2025

Medium 3. Reporting

Risk Ref : KU-BD-05

Observation/Process Enhancement

Revenue

Although BD Function periodically reports budget vs actuals by broader categories of revenue, the reports are not detailed and comprehensive. As a result, details on underutilized, idle, neglected, untapped, dormant and inefficient income streams is absent from periodic reporting. For example,

- In 2022, the 2 revenue streams, Consultancy and Labs, (advertised on KU Website for client bookings) generated 0 revenue but not highlighted in the periodic reports. It is worthy to note KU Labs commercialization project was due to be implemented in Q4 2021. As a result, these two income streams are untapped or idle.
- Details of Revenue by space is not available in the periodic reports to identify sports facilities, rooms, auditoriums or other commercial and office spaces which have not been hired but available for rent (e.g. Squash Courts).

Further, BD Function reports on consolidated revenue of KU which includes indirect revenue generation that cannot be attributable BD Function activities. For example, revenue generated for levying penalties / liquidated damages, student transportation charges etc. As a result, revenue which can be directly identified with BD activities is not separately reported / highlighted.

Additionally, for our review and analysis we requested all BD periodic reporting presentations during the period 2021 and 2023 and only three were provided.

Costing

BD Function periodic reports currently does not highlight cost recovery through revenue generated from different revenue streams. For example, Tuition fee Revenue is not compared to cost of providing tuition. Similarly, student transportation revenue is not compared to actual student transportation costs. In absence of these insights in periodic reporting, it is challenging for stakeholders identify opportunities of improvement across different revenue streams.

Recommendations

- Ensure revenue generated from BD activities is separately reported / highlighted from other KU Revenue.
- Review and agree with KU Management minimum details and frequency of reporting.
- Explore possibility of reporting corresponding costs against revenue streams / revenue accounts in periodic reports.

Management Action Plan

Management Action Plan:

- Periodic reporting will be enhanced as per the Audit recommendation.

Responsibility:

BD Function / SVP Office

Timelines:

31st of December 2024

Low 4. Revenue - Budget vs Actuals

Risk Ref : KU-BD-09

Observation/Process Enhancement

BD submits revenue budget every year which is then subsequently reviewed and approved by DoF. Our review show budget submissions by KU appear to be less challenging compared to actuals and DoF approved budget.

For example, the table below shows submitted, approved and actual figures for some revenue accounts. The variance % compared to DoF approved budget is under 20% while variance % compared to KU submitted budget is at least 23%:

Description	Submitted	Approved	Actuals	Submitted Budget Var.	Approved Budget Var.
Tuition fee	7,422,000	12,000,000	10,820,585	46%	-10%
Building rent: Residences	3,865,524	4,846,539	4,760,558	23%	-2%
Training – General	2,500,000	6,000,000	6,412,128	156%	7%
Student Transportation Charges	1,152,800	1,500,000	1,723,000	49%	15%

Further, overall 2022 variance % compared to DoF approved budget is **-22%** and **+34%** compared to KU submitted budget as reported in BD presentation.

Recommendation

- Evaluate revenue budget submissions and ensure revenue budget submissions are challenging.
- Ensure significant variances are justified and reported to KU Management for their direction.

Management Action Plan

Management Action Plan:

The revenue budget was prepared conservatively due to the uncertain market conditions caused by the ongoing pandemic. Companies and governments worldwide commonly adopt this approach. Top management and the Board, indicating that it was considered the best prediction at the time, approved the budget. However, the Department of Finance (DoF) overstated the budget, focusing more on improving debt collection rather than generating additional business. The revenue budget was based on a cash basis rather than an accrual basis, and some debts, like Ankabut's debt towards KU, were not expected to be repaid. In 2022, the market showed signs of improvement, and a positive impact on revenue was observed due to the agreement with SEHH and its contribution to training revenue.

Responsibility:

N/A

Timelines:

N/A

Medium 5. Business Inquiries

Risk Ref : KU-BD-06

Observation/Process Enhancement

Inquiry Management

Unanswered business inquiries result in potential loss of revenue. BD Function claims 24hr response time for each business inquiry received. However, as part of our review, we sent 4 different test inquiries using BD Webpage form on 23rd May 2023; and 1 test inquiry to Businessdevelopment@ku.ac.ae on 26th May 2023 but no response was received as of 11th June 2023. Please refer to Appendix 3 for details.

Further, once an inquiry is submitted there is no automated response sent to potential customer with a copy and confirming receipt of inquiry.

Lastly, there is no direct landline number if customers would like to contact and inquire more details over phone or follow up on an inquiry.

Inquiry Records

The BD webpage for potential client inquiries lacks an automated process, resulting in manual handling of inquiries and absence of a consolidated record or tracker for effective inquiry management, monitoring and reporting. As a result:

- Essential information such as type of requests, date received, date responded, status of inquiry etc. is not maintained manually or in an automated system which can result in delays, miscommunication, missed opportunities, and can pose difficulties in assessing the status and progress of inquiries.
- Further, in absence of such record, it is challenging to perform meaningful analysis on customer demographics, requirements, popular revenue streams, and other relevant factors related to potential clients approaching KU. Analyzing customer data, such as their industry sectors, specific requirements, and preferred income streams, can provide valuable insights for business development strategies, targeted marketing efforts, and identifying lucrative opportunities. The lack of this data hinders the KU's ability to make data-driven decisions and tailor its offerings to meet the needs of potential clients effectively.

Recommendations

- Establish inquiry management procedure and review BD Function communication channels.
- Ensure BD communication channels are tested on periodic basis. Records of these tests should maintained.
- Ensure automatic confirmation and copy of inquiries is sent to customers once inquiry is submitted.
- Explore possibility introducing a direct landline number for clients to contact BD Function.
- Ensure records of all inquiry are maintained, analyzed and reported to Management including inquiry status.

Management Action Plan

Management Action Plan:

Ticketing automation process has been proposed to management and under review / approval.

Responsibility:

BD Function

Timelines:

31st of December 2024

Low 6. Business Development Webpage

Risk Ref : KU-BD-06

Observation/Process Enhancement

Review of BD Function webpage on KU Website show lack of comprehensive and up-to-date information of all available revenue streams at KU including all available rental spaces, consultancies, Labs (including computer labs). For example, BD Webpage does not highlight following details:

- Types of consultancies available at KU within different departments and how they can help stakeholders;
- Types of Sports facilities available at KU with pictures and other information such as operational hours, size etc.
- Types of Labs and their respective information such their purpose, use, equipment, certifications etc.

Further, picture advertisement of certain available venue rentals on KU Website are non-professional i.e. blurred images / pictures of unorganized rooms. Please refer to Appendix 02 for details.

Recommendations

- Benchmark with local and international University webpages and update KU BD Web Page in line with best practices and KU branding for e.g. professional photography.
- Ensure minimum details such as operating hours, pictures and size of each facility / venue / space is available for each business service including consulting and lab rental.
- Ensure all active revenue streams i.e. all types of sports facility, spaces are advertised on KU BD webpage.
- Establish a process to ensure KU BD Webpage is periodically reviewed and updated.

Management Action Plan

Management Action Plan:

Agree – to be coordinated with Marketing Department.

Responsibility:

BD Function

Timelines:

30th of September 2024

Medium 7. Rental Space – Pricing Records

Risk Ref : KU-BD-03

Observation/Process Enhancement

Pricing Review

Pricing Rental Facilities Memo – March 2019, showed introductory rental rates were established for KU spaces such as Auditorium, Football ground, Board room etc. The Memo highlighted that the rates will be periodically reviewed and updated based on the market conditions and KU interests. However, our review noted introductory rates have not been revised to date. As a result, revenue earned from KU's commercial space rental is not currently market competitive.

As per Rental Market Research (06th Sept 2022) for KU, average base price retail rental is at least AED 1,345 per sq. meter where KU Main campus is located.

For our selected retail shops sample, we noted sq. meter rental of AED 954 and AED 717 (please refer table below) was charged for 2022 based on revenue sharing agreements. It is worthy to note these commercial tenants are also provided with free of charge Water and Electricity for their commercial consumption.

Description	2022 Revenue	Market rental	Variance	Actual Sq. meter. Rental
Al Shaya (Starbucks 173 Sqm)	165,158.88	232,685.00	- 67,526.12	954.68
Taboon Restaurant (49 Sqm)*	11,715.91	21,968.33	- 10,252.42	717.30
**Pro rata (3 months)*				

Further, documentation for costing and market comparison data prior to finalizing introductory rental rates was not available for our review resulting in non-compliance with records retention Policy (KUP 1050) which requires administrative correspondence (including Memo's and its attachments) to be retained / archived permanently.

Recommendations

- Review rental rates supported by costing and market analysis.
- Obtain approval on the revised (if applicable) rates per DoA.
- Ensure Compliance with Records Retention Policy.
- Perform actual revenue rental study and compare with market rates mentioned in Rental Market Research.
- Once comparison is performed, present variance results to KU Management for their direction.
- Present proposals and business plan for KU Management for their review and direction on commercial space rental taking into account free of charge facilities provided to retail space tenants.

Management Action Plan

Management Action Plan:

Rates are under process of review along with Market study. Outcomes of this exercise will be shared with Management.

Responsibility:

BD Function

Timelines:

31st of December 2023

High 8. Non-compliance with Delegation of Authority (DoA)

Risk Ref : KUTC-02

Observation/Process Enhancement

Our sample review of 2 revenue agreements noted in 1 case, following non-compliance with the DoA:

- Sales Agreement (Q2 General Cleaning services LLC)

DoA Requirement (Above AED 50K)	Action	Award approval - Actual
Business Development Manager	Endorse	Hospitability Supervisor
Head of Finance	Endorse	Manager, Administration
KU President	Approve	VP - Admin , Facilities and EHS
-	Approve	Acting VP – Procurement & Contracts
-	Approve	SVP Support Services

It is worthy to note that the agreement was signed off by Acting VP – Procurement & Contracts in absence of sub delegation of authority by KU President on signage of Sales Rental Agreements.

Further, for Sales Agreements, only 1 approver was required per DoA. However, 3 positions were involved in approving the Agreement / Award resulting in increased layer of administration.

Recommendations

Ensure Compliance with DoA. In cases of uncertainty as to a particular authority, i.e. the DoA is not clear with respect to a certain circumstance or requires interpretation, a clarification request should be addressed to the General Counsel.

Management Action Plan

Management Action Plan:

DoA is being revised to address the audit recommendation.

Responsibility:

KU Management/General Counsel

Timelines:

31st of December 2024

Appendix

Appendix 1

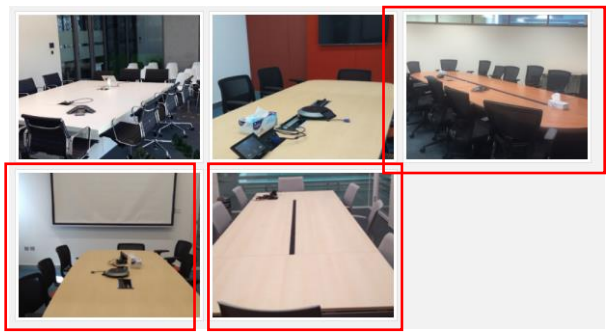
Findings Rating

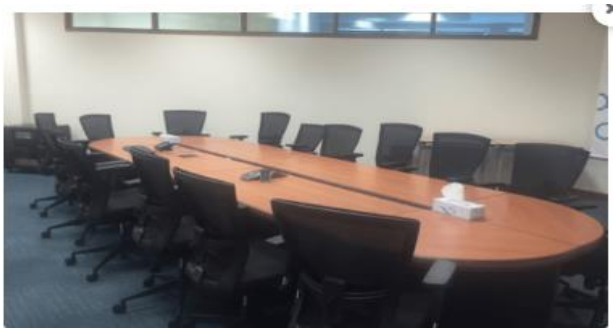
The audit findings have been grouped together in a logical manner to appropriately convey the risk and impact. The audit findings have been categorized based on their criticality rating as **High**, **Medium** and **Low**. The definitions of the findings criticality / distribution are provided in the table below

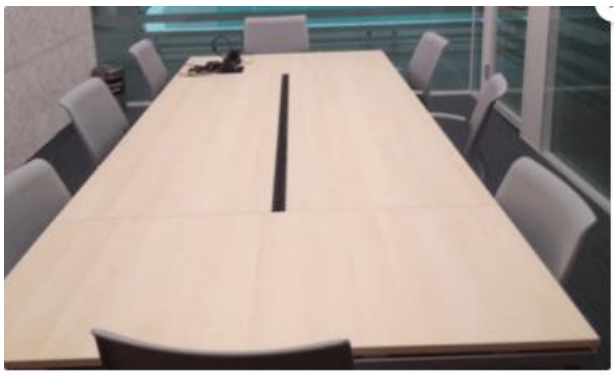
	Finding Rating	Definition	Number of Findings	Total
●	High	Finding is serious and deserves immediate attention by the Process Manager. The finding is reported to the Audit Committee quarterly.	2	8
●	Medium	Finding impacts the accomplishment of the Process objectives. Corrective action is required by management. If not resolved, the finding could result in inefficient use of entity resources and or potentially disrupt business processes.	4	
●	Low	Finding to be reported to Management but is of a minor risk to the entity. Findings will not be reported to the Audit Committee unless the finding remains open after the follow up audit.	2	

Appendix 2

Blurred Images and unorganized room chairs in the pictures advertised on KU Website







Appendix 3

Description	Category	Time Submitted	Date Submitted
Sports	Sports Hall	13:52	23rd May 2023
Consultancy	Petroleum Engineering	13:54	23rd May 2023
Laboratory Rental	Civil Engineering Labs	13:55	23rd May 2023
Venue Rental	Computer Labs	13:58	23rd May 2023
Email to BD Function		10:33	26th May 2023

What kind of advisory you are looking for

Aerospace Engineering

SEND YOUR INQUIRY

Thank you for your message. It has been sent.

What kind of facility you are looking for

Civil Engineering Labs

SEND YOUR INQUIRY

Thank you for your message. It has been sent.

What kind of facility you are looking for

COMPUTER LABS

SEND YOUR INQUIRY

Thank you for your message. It has been sent.

Internal Audit

Ahsan.niazi@ku.ac.ae

+971 2 312 3687

Khalifa University

Test Run - Please respond "Received" to this inquiry to ahsan.niazi@ku.ac.ae

What kind of facility you are looking for

Civil Engineering Labs

SEND YOUR INQUIRY

From: Ahsan Sarwar Niazi
Sent: 26 May 2023 10:33
To: KU Business Development Unit <Businessdevelopment@ku.ac.ae>
Subject: Test Run - KU Internal Audit

Dear BD Team,

Good morning - This is a **test run** email – Please respond to this email as "Received" to complete our audit testing

Thank you and best regards

ABOUT US | **CONTACT US**

Internal Audit

Ahsan.niazi@ku.ac.ae

+971 2 312 3687

Khalifa University

Test Run - Please respond "Received" to this inquiry to ahsan.niazi@ku.ac.ae

What kind of facility you are looking for

COMPUTER LABS

SEND YOUR INQUIRY

Appendix 4

BD Presentation 2022

2022 Budget vs Actuals

Account	Description	Budget 2022	2022 Actuals Accrual	Actual 2022 Cash Basis	Budget 2023
316410	License Fees not mentioned elsewhere		10,000.00		
335210	Building rent: Commercial properties	4,229,000.00	950,893.65	923,838.48	1,260,000
335220	Building rent: Residences	4,846,539.00	4,927,719.27	4,760,558.27	4,465,000
365050	Overhead recovery margin	8,000,000.00	0.00	5,801.32	6,946,000
365102	Chgs for services to other govt units	3,500,000.00	6,361,413.40	6,343,103.54	504,000
365302	Certificate issuance fee	26,400.00	31,251.25	31,251.25	30,000
365303	Identity card issuance fee	11,000.00	3,157.62	3,157.62	13,000
365305	Replacement fee for lost document	6,600.00	45,050.00	45,050.00	8,000
365405	Student Transportation Charges	1,500,000.00	1,723,000.00	1,723,000.00	1,331,000
365471	Educational Services-Sponsorship Income	24,000,000.00	16,800,342.25	16,800,342.25	15,946,000
367112	Sundry Receipts	2,106,071.00	643.00	643.00	1,309,000
367210	Copying and printing documents		1,962.84	1,962.84	
367330	Training - General	6,000,000.00	4,441,976.45	6,412,128.42	3,150,000
367340	Tuition fee	12,000,000.00	10,797,584.99	10,820,584.99	9,640,000
368120	Sponsorship income	390.00	15,000.00	(22.75)	
369000	Other services:		-22.75	25,714.26	
377310	Forfeiture of deposit		25,714.26	3,219,903.55	
378110	Penalty or liquidated damages		3,219,903.55	29,000.00	
378120	Administrative charge for default		29,000.00	(50,555.04)	
382020	FX translation gain(loss)-Transactions		-50,555.04	11,163.00	
382220	Property damage	3,000.00	14,694.43	74,010.00	4,000
382500	Insurance claim receipts		74,010.00	107,496.71	
385100	Written down value of assets		447.62		
386000	Sundry receipts		107,496.85	3,744,352.70	
367350	Sale of textbooks & educational publication		0.00		1,000
388000	Refund of prior year expenditure		9.88		
		66,229,000.00	49,530,683.64	55,032,484.41	44,607,000.00

Revenue Q1 2023 Presentation

Descp.	Submitted Budget	Approved Budget	Actuals - Cash Basis	Variance - Submission	Variance - Sunmission %	Variance - Approved	Variance - Sunmission %
Educational Services-Sponsorship Income	14,659,400	24,000,000	16,800,342	2,140,942	15%	(7,199,658)	-30%
Tuition fee	7,422,000	12,000,000	10,820,585	3,398,585	46%	(1,179,415)	-10%
Overhead recovery margin	6,300,000	8,000,000	5,801	(6,294,199)	-100%	(7,994,199)	-100%
Building rent: Residences	3,865,524	4,846,539	4,760,558	895,034	23%	(85,981)	-2%
Training - General	2,500,000	6,000,000	6,412,128	3,912,128	156%	412,128	7%
Student Transportation Charges	1,152,800	1,500,000	1,723,000	570,200	49%	223,000	15%
Other Students Services	-	2,106,071	644	644		(2,105,428)	-100%
Building rent: Commercial properties (including shops)	1,000,000	4,229,000	923,838	(76,162)	-8%	(3,305,162)	-78%
Others	1,551,935	3,547,390	9,891,836	8,339,901	537%	6,344,446	179%
Total	38,451,660	66,229,000	51,338,732	12,887,072	34%	(14,890,269)	-22%